

Investment Policy Statement: American Innovation Growth Fund

Document Ref: AMER-INNOV-IPS-2024 | **Strategy:** Growth Equity | **Status:** Active

1. Fund Overview and Strategic Intent

The **American Innovation Growth Fund** is a **USD 1.5 Billion** closed-end vehicle designed to capitalize on the secular tailwinds within the U.S. Technology sector. The fund's primary objective is to partner with market-leading **Software & IT Services** providers that demonstrate durable competitive advantages and superior unit economics. This is a growth-focused mandate; as such, current yield and dividends are secondary to long-term capital appreciation.

2. Mandatory Quantitative Gating Criteria

To maintain portfolio quality and institutional scale, all prospective investments must meet or exceed the following financial thresholds at the time of the initial Letter of Intent (LOI):

- **Revenue Scale:** Annual Recurring Revenue (ARR) must be in excess of **\$35M USD**.
- **Operating Efficiency:** The target must maintain a positive **EBITDA Margin**. While **Net Profit** is not a strict requirement for high-growth assets, a clear bridge to profitability is preferred.
- **Unit Economics:** Gross Profit Margins must exceed **60%**, particularly for SaaS-based business models.
- **Capital Efficiency:** Return on Equity (ROE) must be greater than **5%**.
- **Leverage Constraints:** To preserve operational flexibility, the **Debt-to-Equity Ratio** must remain below **0.6**.
- **Valuation & Scale: * Market Capitalization:** Minimum entry valuation of **\$600M USD**.
 - **Valuation Cap:** The Price-to-Earnings (\$P/E\$) ratio must be less than **100**, adjusted for forward growth.
 - **Price-to-Book:** Maximum \$P/B\$ ratio of **20**.

3. Qualitative Risk & Governance Framework

Beyond the financial "gating" criteria, the Investment Committee (IC) requires a rigorous analysis of the following risk factors:

A. Market & Competitive Positioning

- **Dominance:** Target companies must exhibit a dominant or strong market presence within their specific technical niche.
- **Customer Diversification:** We favor companies with a broad, diversified client portfolio. Analysts must flag any company where a single customer accounts for a disproportionate share of revenue.

B. Structural & Operational Integrity

- **Governance Standards:** The fund insists on institutional-grade governance and full financial transparency. Entities with "family-office" styles or weak internal control frameworks are strictly excluded.
- **Platform Reliance:** Analysts must evaluate the target's dependency on third-party cloud infrastructure or single-vendor ecosystems to mitigate "lock-in" or "de-platforming" risks.
- **Business Model Complexity:** We prioritize clean, scalable business models. Entities with overly convoluted multi-platform or hybrid structures that obscure underlying performance should be avoided.

C. Regulatory & Compliance Landscape

- **Legal Exposure:** Evaluation must include a thorough review of data protection laws (e.g., GDPR/CCPA), antitrust risks, and evolving regulatory compliance requirements.